

SECTION A**QUESTION 1**

Sole Proprietorship	Partnership	Company
• owned by an individual • small capital • no need to pay business taxes • unlimited liability • Owners and businesses are the same entities	• owned by 2 or more individuals • must comply with the Partnership Act • no need to pay business taxes • unlimited liability • Owners and businesses are the same entities	• Owners and businesses are two different entities • have to pay business tax • limited liability on contributed capital

QUESTION 2

- (i) Economic entity
- (ii) Historical cost
- (iii) Consistency

QUESTION 3

- (i) Non-Current Liabilities → Obligation period is more than one year
- (ii) Current Liabilities → Due within the current period
- (iii) Non-Current Liabilities → Obligation period is more than one year
- (iv) Current Liabilities → Due within the current period

SECTION B

QUESTION 1

(i)

Ahmad Kasa Sdn Bhd
Bank Reconciliation Statement
as at 31 August 2013

	<u>RM</u>	<u>RM</u>
Cash Balance Per Bank Statement		30,400
(+): Deposit In Transit		
Sarimah		6,600
		<u>37,000</u>
(-) Outstanding Cheque		
No.cek 155456	1,300	
No.cek 155457	<u>1,360</u>	<u>(2,660)</u>
Adjusted Cash Balance Per bank		<u>34,340</u>
Cash balance per books		29,790
(+):		
Notes receivable	4,000	
Interest revenue	150	
Purchases account - errors (8,500 – 8,050)	<u>450</u>	<u>4,600</u>
		34,390
(-)		
Bank Charges		<u>(50)</u>
Adjusted Cash Balance Per Book		<u>34,340</u>

(ii)

Date	Account Titles and Explanations	Debit (RM)	Credit (RM)
Aug 31	Bank	4,150	
	Notes Receivable		4,000
	Interest Revenue		150
	(to record collection of Notes Receivable and interest)		
	Bank	450	
	Purchases		450
	(to correct error in recording purchase payment)		
	Bank Charges	50	
	Bank		50
	(to record bank charges)		

QUESTION 2

Date	Purchases			Cost of Goods Sold			Balance		
	Unit	Cost per unit	Total (RM)	Unit	Cost per unit	Total (RM)	Unit	Cost per unit	Total (RM)
Mar 1							1,250	12.50	15,625
5				1,000	12.50	12,500	250	12.50	3,125
8	800	14.00	11,200				250	12.50	3,125
							800	14.00	11,200
									14,325
12				250	12.50	3,125			
				350	14.00	4,900	450	14.00	6,300
15	900	12.50	11,250				450	14.00	6,300
							900	12.50	11,250
									17,550
21				300	14.00	4,200	150	14.00	2,100
							900	12.50	11,250
									13,350
27				150	14.00	2,100			
				50	12.50	625	850	12.50	10,625
				Cost of Goods Sold		27,450	Ending Inventory Cost		10,625

(i) Cost of Goods Sold = RM27,450

(ii) Inventory at 31 Mac 2013 = RM10,625

QUESTION 3

(i)

Date	Account Titles and Explanations	Debit	Credit
2013 May 1	Drying Machine Accumulated depreciation – Washing Machine $[(85,000 - 3,000) \times 15\% \times 4]$ Cash Washing Machine Gain On Disposal (To record disposal of washing machine and gain on disposal) <i>Gain on disposal</i> = <i>Trade-in value</i> – <i>Washing machine book value</i> = <i>(Cost of drying machine + Cash receives) – (Cost of washing machine – Accumulated depreciation of washing machine)</i> = $(100,000 + 2,000) - (85,000 - 49,200)$ = 66,200	100,000 49,200 2,000	85,000 66,200

* Washing machine depreciation for this year is not recorded because the yearly basis is used

	Prepaid Insurance Cash/Bank (to record payment of the insurance premium of the drying machine)	5,000	5,000
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(ii)

Date	Account Titles and Explanations	Debit	Credit
2013 Dec 31	Depreciation Expenses – Vehicle $[(160,000 - 5,000) \times 10\%]$ Accumulated Depreciation - Vehicle (to record vehicle depreciation expenses)	15,500	15,500
	Depreciation Expenses – Machine $[(100,000 - 5,000) \times 20\%]$ Accumulated Depreciation - Machine (to record machine depreciation expenses)	19,000	19,000
	Insurance Expenses $(5,000 \times 8/12)$ Prepaid Insurance (to record the adjustment of insurance expenses)	3,333	3,333

QUESTION 4

(i)

Date	Account Titles and Explanations	Debit	Credit
July 1	Bank Notes Payable	50,000	50,000

(ii)

Date	Account Titles and Explanations	Debit	Credit
Dec 31	Interest Expenses ($50,000 \times 10\% \times 6/12$) Interest Payable	2,500	2,500

QUESTION 5

(i)

Amer Trading
Statement of Comprehensive Income
For the year ended 31 December 2012

Sales		35,900
(-) Discount Given		(400)
Net sales		<u>35,500</u>
Cost of Goods Sold:		
Beginning Inventory	10,500	
Purchases	16,710	
(-) Discount Received	<u>(160)</u>	
Net Purchases	16,550	
Cost of Goods Available for Sales	27,050	
(-) Ending Inventory	<u>(12,500)</u>	
Cost of Goods Sold		<u>(14,550)</u>
Gross Profit		20,950
Operational Expenses:		
Wages and Salaries expenses	6,320	
Miscellaneous expense	2,100	
Depreciation Expenses – Van Transport (7,000 x 15%)	1,050	
Depreciation Expenses – Office Equipment (1,700 x 5%)	<u>85</u>	
Total Operational Expenses		<u>(9,555)</u>
Net Profit		<u>RM11,395</u>

Accounts receivable			
b/d	31,000	Cash	27,000
Sales	35,900	Discount given	400
		c/d	<u>39,500</u>
	<u>66,900</u>		<u>66,900</u>
Accounts payable			
Cash	15,600	b/d	9,650
Discounts received	160	Purchases	16,710
c/d	<u>10,600</u>		
	<u>26,360</u>		<u>26,360</u>

(ii)

Calculation of beginning capital:

<u>Beginning Assets:</u>	<u>RM</u>	<u>RM</u>
Cash	225	
Inventory	10,500	
Accounts Receivable	31,000	
Van Transport	7,000	
Office Equipment	1,700	
Total Beginning Assets		50,425
<u>(-) Beginning Liabilities:</u>		
Accounts Payable	9,650	
Bank Loan	2,175	
Total Beginning Liabilities		(11,825)
Beginning Capital		38,600

Calculation of ending capital:

	<u>RM</u>
Beginning Capital	38,600
+ Net Income	11,395
	49,995
(-) Drawings	(2,800)
Ending Capital	47,195